

Purchase Order Lifecycle Standard Operating Procedure

Complete Lifecycle Management, Status Transitions, Discrepancy & Delay Protocols

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1. Purpose

This SOP defines the end-to-end operational lifecycle, mandatory status transitions, and exception protocols for Purchase Orders (POs) issued by SupplySense Electronics.

2. Standard Purchase Order Lifecycle

All purchase orders must transition sequentially through the following 12 lifecycle stages:

Stage #	Lifecycle Event	System Status	Trigger / Action Description
1	Requisition	Draft	PR created by inventory planner or reorder trigger.
2	Internal Approval	Pending Approval	Routed to financial approval authority per SSE-PROC-POL-001.
3	Authorization	Approved	Formal sign-off by approval authority in ERP.
4	Transmission	Sent	PO dispatched to vendor via EDI / Email.
5	Confirmation	Supplier Confirmed	Vendor accepts PO terms and confirms delivery date within 48 hrs.
6	Processing	In Progress	Vendor initiates manufacturing / allocation.
7	Partial Shipping	Partially Delivered	First consignment shipped; GRN logged for partial quantity.
8	Full Shipping	Dispatched	Complete shipment handed over to logistics carrier.
9	Receiving	Delivered	Shipment arrives at warehouse; physical GRN completed.
10	Matching	Invoicing	Accounts Payable verifies 3-Way Match (PO + GRN + Invoice).
11	Payment	Closed	Final payment disbursed to vendor; PO closed.
12	Termination	Cancelled	PO cancelled prior to dispatch due to breach or mutual consent.

3. Delay Management & Delivery Date Monitoring

3.1 Delivery Tracking: Every PO specifies an Expected Delivery Date. The system automatically tracks $\text{delay_days} = (\text{Actual Delivery Date} - \text{Expected Delivery Date})$.

3.2 Escalation Thresholds:

- 1 – 3 Days Delay: Automated reminder sent to vendor contact.
- 4 – 7 Days Delay: Warning Notice issued; Procurement Specialist contacts vendor management.
- > 7 Days Delay: Critical Delay Escalation. Procurement Manager evaluates PO cancellation or emergency sourcing.

4. PO Amendments & Quantity Deviations

4.1 Quantity Variance: Deviations within $\pm 1\%$ due to bulk packaging are accepted. Deviations exceeding 1% require PO Amendment.

4.2 Cancellation Rules: Unfulfilled POs pending for > 15 days past expected delivery date without vendor extension request are subject to automatic cancellation.